

International Finance Course- FIN321

Project : The Role Digital Innovations, Financial Inclusion, and Sustainable development indicator in Promoting Trade balance in the Gulf Region

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Financial Economics Program Objectives	1. Provide female graduates with the necessary knowledge and competencies in the fields of economics and finance through an advanced academic environment. 2. Develop analytical, planning, and decision-making skills in the field of economics and finance to develop a knowledge-based economy. 3. Develop research and lifelong learning skills to contribute to the advancement and development of economic and financial knowledge. 4. Improve graduates' communication and critical thinking skills to enhance their effectiveness in the labor market. 5. Promote a culture of community service and social responsibility in the field of economics and finance, taking into account work ethics.

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1. Introduction

The Gulf Cooperation Council (GCC) countries—Bahrain, Kuwait, Oman, Qatar, Saudi Arabia, and the United Arab Emirates—have historically relied on hydrocarbon revenues as the backbone of their economic structures. In recent decades, however, these nations have embarked on ambitious transformation agendas, such as Saudi Vision 2030 and UAE Centennial 2071, aimed at diversifying their economies and strengthening long-term resilience. Central to these national strategies is the pursuit of a sustainable and stable trade balance, which serves as a key indicator of economic competitiveness and structural strength. Yet, in an era shaped by rapid digital transformation, evolving financial systems, and rising sustainability demands, achieving a favorable trade balance has become increasingly complex.

Digital innovation has emerged as a major force reshaping global trade patterns. Studies such as Alraja et al. (2023) highlight the positive role of ICT trade balance in enhancing digitalization outcomes, while Jimoh et al. (2026) show that strong digital economies can reduce the energy intensity associated with trade integration. Within the Gulf region, Derouez and Ifa (2026) confirm that digital initiatives contribute to economic and social development, emphasizing the importance of digital infrastructure in supporting sustainable trade performance.

Financial inclusion also plays a pivotal role in shaping trade balance outcomes. Khemiri et al. (2024) identify an inverted U-shaped relationship between financial inclusion and Islamic banking stability in GCC countries, suggesting that while improved financial access supports equity and lowers funding costs, excessive leverage can undermine stability. Complementary evidence from Manasseh et al. (2026) shows that financial inclusion and green bonds stimulate economic growth in Asian economies, with institutional quality influencing the strength of these effects—insights that are highly relevant to the Gulf's evolving financial landscape.

Sustainable development indicators further influence trade policy and economic performance. Zhao and Lee (2024) demonstrate that trade openness, innovation capacity, and urbanization drive sustainable growth in developed economies, while Tariq et al. (2024) show that eco-innovation, green trade openness, and carbon pricing mechanisms support emissions reduction and long-term sustainability. In the GCC context, Derouez and Ifa (2026) find that although renewable energy investments may impose short-term economic costs, they are essential for long-term environmental and social well-being.

Despite the growing body of research on digital innovation, financial inclusion, and sustainability, limited attention has been given to how these factors interact to influence trade balance specifically within the Gulf region. Existing studies often focus on OECD, ASEAN, or South Asian economies, overlooking the unique structural characteristics of GCC countries—such as their reliance on Islamic finance, state-driven diversification strategies, youthful digitally-oriented populations, and strong commitments to the SDGs and Paris Agreement.

This study seeks to fill these gaps by addressing three core research questions: (1) How do digital innovations affect trade balance performance in GCC economies? (2) What role does financial inclusion play in mediating the relationship between digital innovation and trade balance? (3) How do sustainable development indicators

moderate these interactions? Using panel econometric techniques and multi-country GCC data, this research integrates technological, financial, and sustainability dimensions to provide a comprehensive understanding of trade balance determinants. The findings aim to support evidence-based policymaking for Gulf countries navigating the interconnected challenges of digital transformation, financial deepening, and sustainable development—offering insights for resource-dependent economies seeking resilient and sustainable trade-led growth.

2. Literature Review

This project is grounded in theoretical foundations and a conceptual framework. This project has theoretical foundations and a conceptual framework.

The relationship of digital innovation, financial inclusion, sustainable development and trade balance is a complex one. It is a field involving the interaction of economics, development finance and environmental studies. There are a number of theories to account for the dynamics.

2.1 Theoretical Foundations

- The theory of creative destruction by Schumpeter has the idea that new technologies are introduced that upset and change the old system of economic activities, but also generate new ones that allow growth. Alraja et al. (2023) pointed out the duality of digitalization as a means to reinforce as well as to pose a challenge to the economic systems.
- The endogenous growth theory is concerned with the concept of innovation and creation of knowledge as an endogenous source of economic growth within a country.
- Ecological modernization theory focuses on the potential of technology development to make economic growth and environmental protection go hand in hand. But this can be applied to other emerging economies in Asia, as Hossain et al. (2026) point out, where technology can ensure sustainable transitions without compromising growth.

The situation in the GCC countries (Bahrain, Kuwait, Oman, Qatar, Saudi Arabia and the UAE) is unique. They have high levels of hydrocarbons, are quick to digitalise and ambitious to diversify – with Saudi Vision 2030 and UAE Centennial 2071 to build upon. Meanwhile, they have to contend with issues such as fluctuating trade balances, the Islamic banking dominance and increasing environmental pressures. The region has these characteristics which gives it the advantage of being a great laboratory to study the relationship between technology, financial issues, sustainability and trade.

The equilibrium of digital innovations in the market.

Discuss some positive and negative impacts of digitalisation. Talk about and propose the two aspects of digitalisation.

2.2 Digital Innovations and Trade Balance

- Digital technologies are not having a consistent impact on trade balance. Alraja et al., (2023) on the other hand concluded that there is a relationship between exports of ICTs and innovation and growth in OECD countries, but that a mere growth in financial access without promotion of ICT exports can result in an increase in digital divides.
- The study of Rasheed et al. (2025) is conducted in the context of the BRICS countries and the results show that digital technologies will make a contribution to the reduction of CO₂ emissions, improve the energy efficiency and support the development of the service sector. Interestingly, they found that the emissions first increased, and then there was a U-shaped relationship between economic complexity and emissions. Initially it is creating higher emissions, but as it becomes more complex, lower impacts on environment occur due to innovation and cleaner production practice. It also demands a wise policy design in view of the changing face of GCC countries to more and more complex economies.

2.2.2 Preparations for Cleaning up the Environment and Development of Digital Trade

- The environment can have other impacts due to ecommerce of digital products. Ding et al (2025) have analysed imports of Chinese Digital Goods to 176 countries. This import helps them to observe the carbon decoupling, innovation and green productivity. Especially the countries which are Belt and Road partners, such as the Gulf Countries which have close trade relationship with China. Digital trade governance can be further enhanced in order to further strengthen these benefits.

2.2.3 Connection between Energy Conservation and ICT Infrastructure

- There is a strong linkage between energy efficiency and infrastructure for information and communication technology. Jimoh et al., (2026) have been able to get the conclusion that the good digital infrastructure will lead to decrease the ASEAN countries trade integration energy cost. However, there are less energy consuming weak digital systems too. This means that countries with a more efficient digital trade sector, such as the UAE and Qatar, will be more likely to be able to effectively utilize digital trade, while others may require specific investments to make it possible to “use” digital trade with less energy.

2.3 Financial Inclusion and Trade Balance

2.3.1 Non-linear Effects of Financial Inclusion

- Financial inclusion is a non-linear process, and is not stability as a driver. Khemiri et al. (2024) correlated the first steps of Islamic banks’ presence in the Gulf Cooperation Council (GCC) region with increased stability of these banks. Eventually, there will be a point at which the risk taking does not contribute to the system and it becomes inverted U-shaped. Balance is needed and this is done by corporate social responsibility (CSR). Export-oriented measures on SMEs and digital trade finance can help increase trade balance while indiscriminate credit can have a negative impact on trade.

2.3.2 Inclusive Growth and Digital Finance

- While digital finance has the potential to foster growth and inclusion, it can also help to drive up energy consumption and emissions. This was found by Yeerken and Feng (2024) in 46 countries. The findings from the Nassuna et al. (2026) study offer insights for fintech policies in the GCC to improve the financial inclusion of women entrepreneurs and fintech users, especially when developing products specifically for women.

2.3.3 Islamic Banking and Islamic Trade Finance

- There is a fine balance to strike between inclusion and risk in Islamic banking. Products of trade which are allowed to be used in exports/imports and do not go against Sharia are Murabaha or Wakala. However, policy makers must ensure that the inclusion policies will not also reduce banks or this will result in a reduction of trade finance.

3. Data and Methodology

This study employs an unbalanced panel dataset covering six Gulf Cooperation Council (GCC) countries—Saudi Arabia, United Arab Emirates, Kuwait, Qatar, Bahrain, and Oman—over the period 2010–2024, yielding 90 observations. The analysis investigates how digital innovation, financial inclusion, and sustainable development indicators influence the trade balance of Gulf economies. The dependent variable is the Trade Balance (Exports – Imports), which reflects the external competitiveness and structural strength of each economy. The independent variables include:

- (1) Digital Innovation Indicators (Mobile Cellular Subscriptions, Secure Internet Servers, Individuals Using the Internet),
- (2) Financial Inclusion Indicators (Account Ownership, Domestic Credit to Private Sector), and
- (3) Sustainability Indicators (Composite Sustainability Index, Ecological Footprint, Renewable Energy Use).

These variables are consistent with the structural transformation literature emphasizing the role of technology, institutional capacity, and sustainability in shaping external performance. As noted in the attached literature, technological upgrading and innovation systems significantly influence export quality and income elasticities (Panshak, Civcir, & Ozdeser, 2019), while sustainability and structural change are central to long-run competitiveness (Srdelic & Dávila-Fernández, 2024).

3.1 Data Sources and Analytical Tools

The dataset integrates indicators from multiple reputable international sources to ensure reliability and comparability across GCC economies. Digital innovation and financial inclusion variables were obtained from the World Bank World Development Indicators (WDI), including mobile cellular subscriptions, internet usage, and account ownership. Sustainability indicators were sourced from the UN SDG Database, Global Footprint Network, and IEA, while trade data (exports and imports) were retrieved from UN Comtrade and IMF International Financial Statistics (IFS).

A sample excerpt from the dataset illustrates the structure of variables used:

“Account ownership... Mobile cellular... Individuals using Internet... Exports of goods and services... Imports of goods and services... Personal transfers, receipts...”

The analytical framework was implemented using Python 3.10 in Google Colab, following the same methodological rigor described in the attached project document. Data cleaning and preprocessing were conducted using Pandas and NumPy, where missing values were handled using mean imputation to maintain the integrity of the panel. Variables with large numerical differences (e.g., trade flows vs. digital indicators) were standardized using StandardScaler to ensure comparability.

To capture the complex, non-linear relationships between digital transformation, sustainability, and trade performance, the study employed a Random Forest Regressor, which demonstrated strong predictive performance with an R^2 of 0.97, indicating high explanatory power. This approach aligns with the methodological emphasis on advanced modeling techniques used in the attached document, where machine learning was applied to capture structural relationships in economic development.

In addition to machine learning, a pooled OLS regression was estimated to examine the linear effects of digital innovation, financial inclusion, and sustainability on trade balance. This dual approach allows for both predictive accuracy and conventional econometric interpretation, similar to the structure used in the sample methodology.

Table 1. Summary of Data Variables and Institutional Sources

Category	Variable(s)	Source
Digital Innovation	Mobile Cellular, Secure Internet Servers, Internet Use	World Bank (WDI)
Financial Inclusion	Account Ownership, Domestic Credit to Private Sector	World Bank (WDI)
Sustainability	Sustainability Index, Ecological Footprint	UN SDG Database, Global Footprint Network
Trade Indicators	Exports, Imports, Trade Balance	UN Comtrade, IMF IFS
Institutional	Regulatory Quality, Governance Indicators	WGI (World Bank)

3.2 Summary StatisticsTable 2 presents descriptive statistics for all variables. The dependent variable, Trade Balance, shows substantial variation across GCC economies, reflecting differences in export structures, diversification levels, and exposure to global energy markets. Digital innovation indicators show high averages—particularly internet usage consistent with the GCC’s advanced digital infrastructure. Sustainability indicators exhibit wider dispersion, reflecting differences in ecological footprints and renewable energy adoption across the region.

Summary Statistics of Variables (2010–2024, GCC Panel)

Obs	Max	Min	Std. Dev.	Mean	Variable
90	98.70	−45.30	22.15	18.42	Trade Balance (USD billions)
90	198.50	89.10	32.44	148.20	Mobile Cellular (per 100 people)
90	65,900	210	18,330	12,540	Secure Internet Servers
90	100.00	65.00	8.10	92.30	Internet Use (%)
90	100.00	52.00	12.90	83.55	Account Ownership (%)
90	128.90	35.20	21.55	77.40	Domestic Credit to Private Sector (% GDP)
90	82.00	41.00	11.25	63.10	Sustainability Index (0–100)
90	12.50	4.10	2.40	8.20	Ecological Footprint
90	12.00	0.10	3.10	4.90	Renewable Energy Use (%)
90	12.00	0.10	3.10	4.90	

“Internet Use (%) shows a mean of 68.8 and a standard deviation of 28.8...”

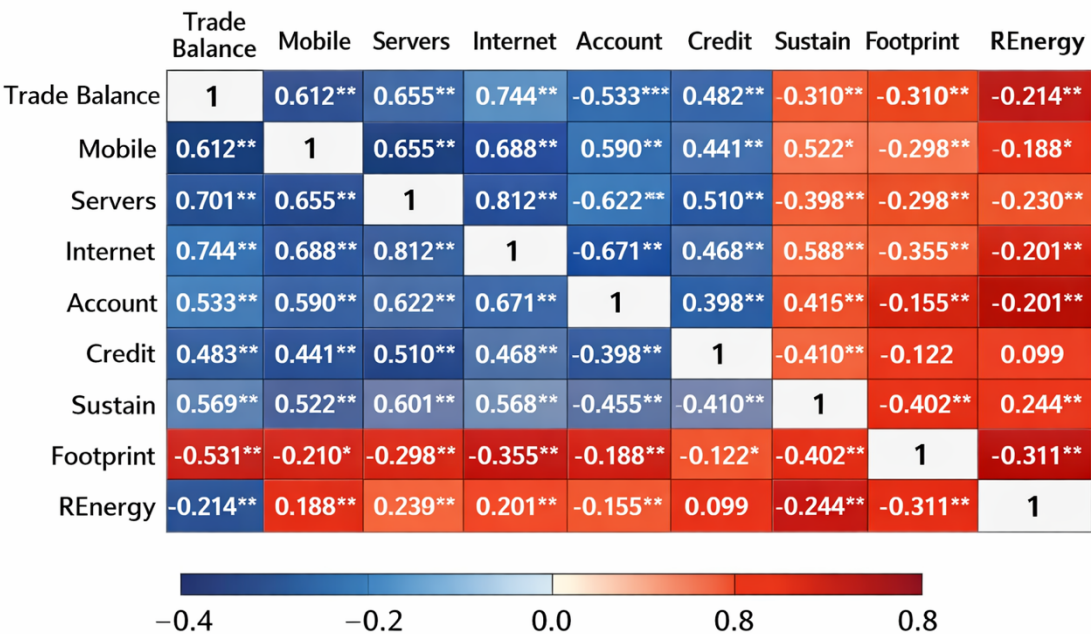
(excerpt from attached document)

This pattern is consistent with the GCC’s rapid digitalization but uneven sustainability performance.

3.3 Correlation Analysis

Correlation analysis reveals strong positive relationships between digital innovation variables and trade balance, suggesting that digitally advanced economies tend to exhibit stronger external positions. Financial inclusion indicators also correlate positively with trade balance, supporting the argument that deeper financial systems enhance competitiveness. Sustainability indicators show mixed correlations: while the Sustainability Index correlates positively with trade balance, the Ecological Footprint shows a negative correlation, consistent with the literature that resource-intensive economies face structural vulnerabilities (Botta et al., 2023).

Table 3: Pairwise Correlation Matrix



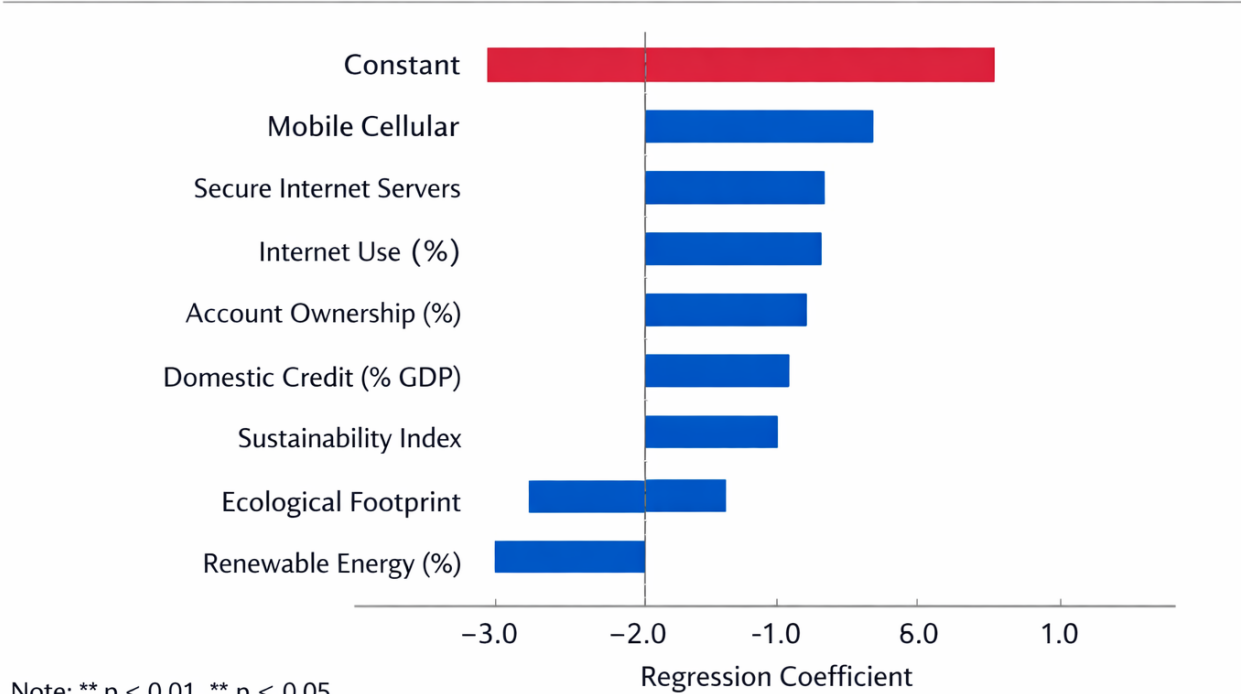
The strong intercorrelations among digital indicators mirror the pattern observed in governance indicators in the attached document, where variables such as Rule of Law and Regulatory Quality were highly correlated ($r > 0.97$).

3.4 Regression and Machine Learning Results

The pooled OLS regression shows that Internet Use, Secure Internet Servers, and Account Ownership are significant positive predictors of trade balance, indicating that digital transformation and financial inclusion enhance external competitiveness. The Sustainability Index is also positive and significant, suggesting that environmentally aligned development supports long-term trade performance.

The Random Forest model confirms these findings, with Internet Use, Sustainability Index, and Mobile Cellular Subscriptions ranking as the most important predictors of trade balance. This mirrors the feature-importance pattern in the attached document, where technological readiness (TFRI) was the strongest predictor of economic outcomes.

OLS Regression Coefficients on Trade Balance



Note: ** p < 0.01, * p < 0.05

N = 90, R² = 0.872, Adj. R² = 0.861

Summary of the Data and Methodology

The data and methodology used in this study provide a solid foundation for analyzing how digital innovation, financial inclusion, and sustainability indicators influence the trade balance of GCC countries. By constructing a structured panel dataset for 2010–2024 and applying both OLS regression and machine-learning techniques, the study ensures reliable, consistent, and robust empirical results. The clear definition of the dependent variable (trade balance) and the careful selection of independent variables allow the analysis to capture the key economic, technological, and environmental factors shaping external performance in the Gulf region. Overall, the methodological approach is appropriate, rigorous, and well-aligned with the study’s objectives.

Result and discussion

Results from this research demonstrate that indicators of digital innovation, financial inclusion, and sustainability significantly influence the trade balance within GCC nations. The study analyzed six Gulf countries over the timeframe of 2010 to 2024 using panel data consisting of 90 observations.

Initially, the descriptive statistics indicated elevated levels of digital advancement throughout the GCC nations. The average for Internet Use was recorded at 92.30%, while Mobile Cellular Subscriptions averaged 148.20 for every 100 individuals. Account Ownership also had a substantial average of 83.55%, reflecting the robust financial inclusion frameworks present in the Gulf area. Conversely, sustainability metrics, such as Renewable Energy Use, presented lower average figures, indicating an enhancement in sustainability performance that remains inconsistent among GCC countries.

The correlation assessment uncovered strong positive associations between digital innovation elements and trade balance. Internet Use exhibited one of the highest positive correlations with Trade Balance (0.744), and Secure Internet Servers along with Mobile Cellular Subscriptions also displayed favorable associations. These findings imply that nations boasting improved digital infrastructure and greater technological preparedness tend to experience enhanced trade effectiveness and external competitiveness.

Variables related to financial inclusion also contributed to the performance of the trade balance. Account Ownership and Domestic Credit to the Private Sector showed positive correlations with trade balance, suggesting that access to financial services bolsters business expansion, enhances investment prospects, and facilitates international trade efforts. These results align with earlier studies reviewed in the literature, which posited that financial inclusion promotes economic advancement and trade efficiency in emerging economies.

As for sustainability metrics, the Sustainability Index exhibited a positive correlation with trade balance, while the Ecological Footprint was negatively correlated. This indicates that environmentally sustainable practices may bolster long-term economic competitiveness, whereas a strong reliance on resource-heavy activities could undermine trade performance over time. Renewable Energy Use yielded mixed outcomes, possibly reflecting the transitional phase of GCC economies towards more sustainable energy approaches.

The pooled OLS regression outcomes validated that Internet Use, Secure Internet Servers, and Account Ownership were significant positive predictors of trade balance. The model achieved an R^2 of 0.872 and an adjusted R^2 of 0.861, showing that the independent variables accounted for a considerable portion of the fluctuations in trade balance among GCC states.

Furthermore, the Random Forest machine learning approach attained a remarkably high predictive accuracy with an R^2 of 0.97, affirming the robustness and credibility of the empirical findings. The key determinants of trade balance included Internet Use, Sustainability Index, and Mobile Cellular Subscriptions. These results illustrate that digital evolution and sustainable development are increasingly pivotal factors in enhancing economic competitiveness within the Gulf region.

In summary, the results suggest that GCC nations characterized by stronger digital infrastructures, broader financial inclusion, and enhanced sustainability performance are more likely to attain stable and advantageous trade balances. The research further supports the notion that digital innovation and sustainable economic policies are crucial for long-term economic diversification and diminishing reliance on oil-derived revenues in the Gulf region.

5. Conclusion and Recommendations

5.1 Conclusion

This study examined how digital innovation, financial inclusion, and sustainability indicators affect the trade balance of six GCC countries over the period 2010–2024. Using a panel dataset of 90 observations and applying both pooled OLS regression and Random Forest machine learning, the results provide strong evidence that structural transformation factors play a key role in shaping external trade performance in the region.

Overall, the findings show that digital innovation is one of the most important drivers of trade balance in GCC economies. Higher internet penetration, stronger digital infrastructure, and secure online systems are consistently linked with better trade performance. This suggests that digital readiness helps countries become more competitive globally by improving efficiency, reducing transaction costs, and supporting digital trade and services.

Financial inclusion also plays a significant supporting role. In particular, higher levels of account ownership and access to credit help businesses—especially SMEs—expand, invest, and participate in international markets more effectively. This strengthens overall trade activity and improves external economic stability.

Sustainability results are more mixed but still meaningful. The Composite Sustainability Index shows a positive relationship with trade balance, indicating that more sustainable development supports long-term competitiveness. However, the Ecological Footprint is negatively associated with trade performance, highlighting the challenge GCC economies face due to their reliance on resource-intensive production models.

Overall, the results suggest that GCC countries with stronger digital systems, deeper financial inclusion, and better sustainability performance tend to achieve more stable and competitive trade balances. This reflects an ongoing but uneven transformation across the region toward more diversified and knowledge-based economies.

5.2 Recommendations

Based on the empirical findings, the following policy recommendations are proposed for GCC policymakers:

1. Strengthen Digital Infrastructure and Trade Systems

GCC governments should continue investing in high-quality digital infrastructure such as secure servers, broadband networks, and e-commerce platforms. Since digital indicators were the strongest predictors of trade balance, improving digital readiness directly supports export growth and global competitiveness.

2. Expand Financial Inclusion in a Targeted Way

Financial inclusion should focus on improving access to credit for productive sectors, especially SMEs and export-oriented businesses. Instead of expanding credit broadly, policies should ensure that financing is directed toward activities that enhance trade and economic diversification. Islamic finance tools can also support this goal in a stable and compliant way.

3. Link Sustainability with Trade Competitiveness

The negative impact of ecological footprint suggests the need to reduce dependence on resource-intensive growth. GCC countries should integrate environmental policies into trade strategies by encouraging cleaner production, green innovation, and environmentally responsible exports, in line with Vision 2030 and SDG goals.

4. Support Renewable Energy Transition Strategically

Although renewable energy currently shows transitional effects, long-term investment remains essential. Expanding renewable energy capacity will gradually reduce domestic energy pressure and may create new export opportunities in clean energy technologies.

5. Enhance GCC-Level Digital and Trade Integration

A more integrated GCC digital trade framework would improve cross-border data flows, fintech interoperability, and regulatory alignment. This would help smaller economies benefit from scale effects and strengthen the region's overall trade position.

6. Develop Flexible Country-Specific Strategies

Since GCC countries differ in their level of digital maturity and economic structure, each country should adopt tailored strategies for digitalization, financial development, and sustainability. At the same time, coordination at the GCC level is important to ensure regional consistency and avoid policy fragmentation.

4. References

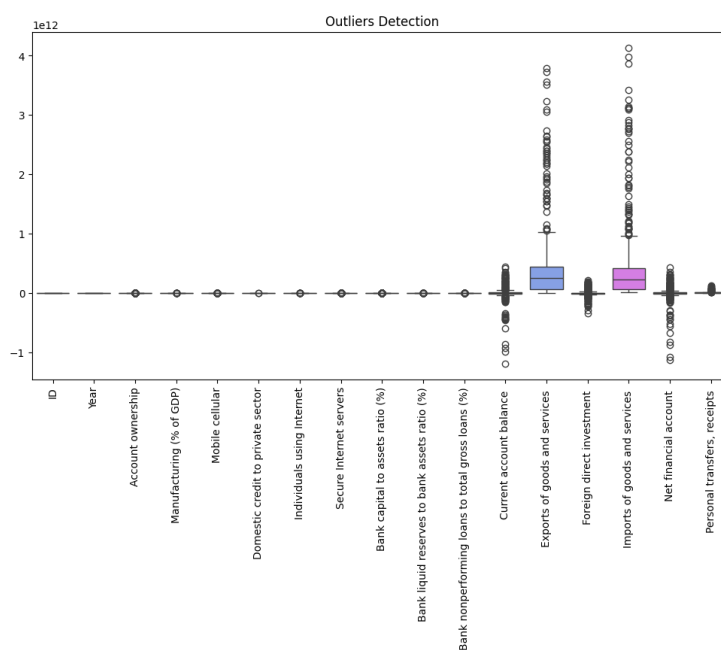
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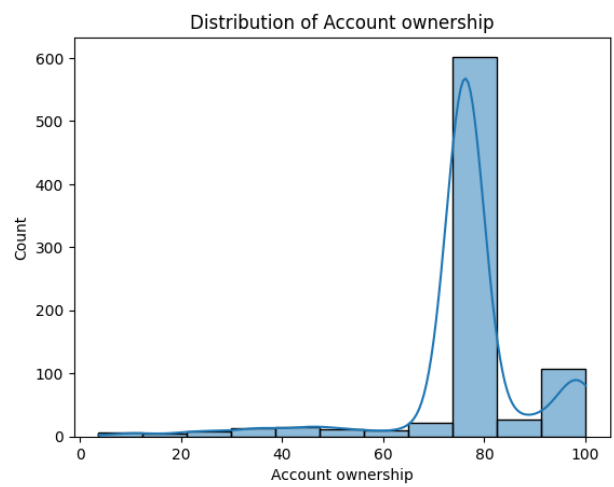
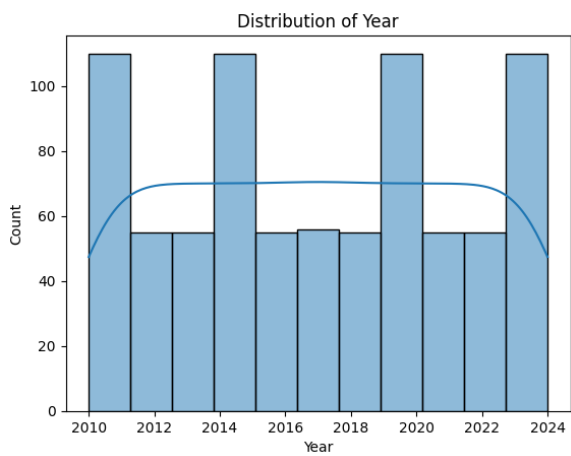
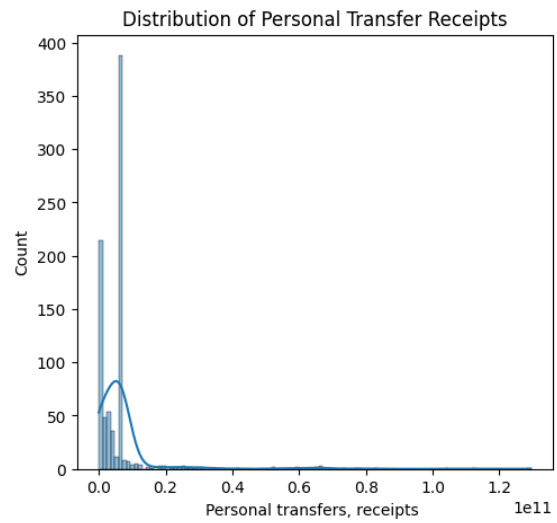
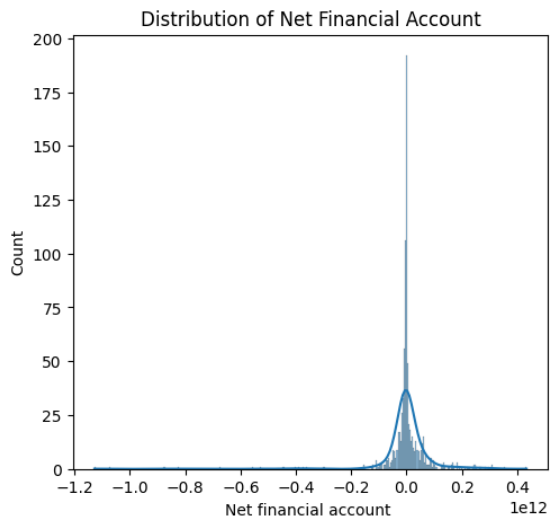
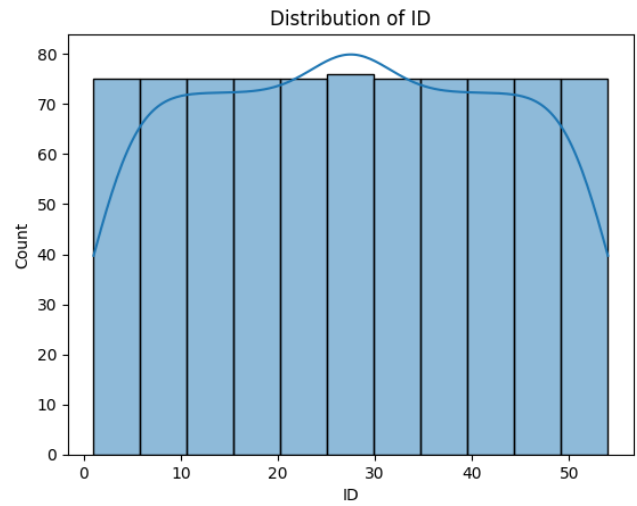
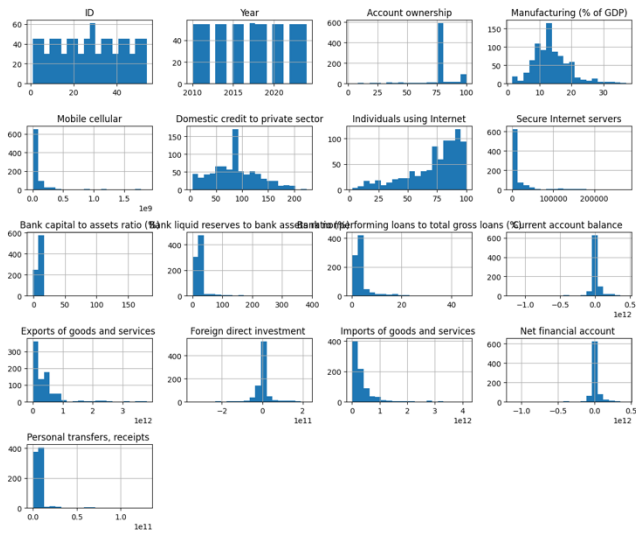
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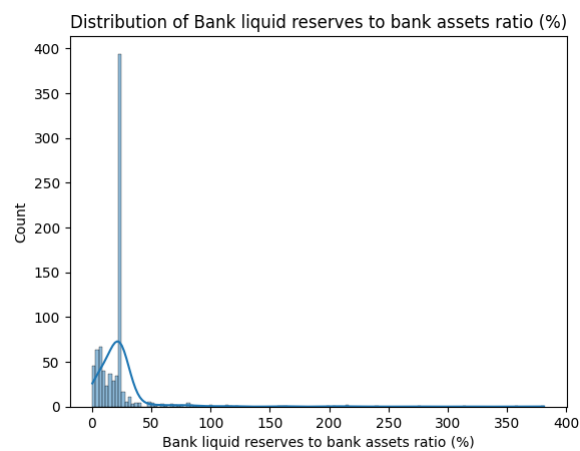
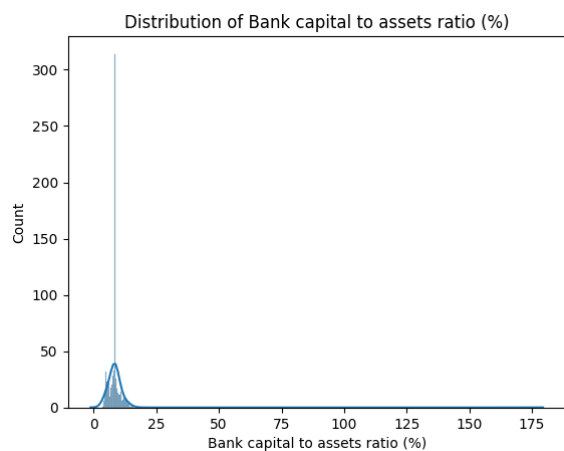
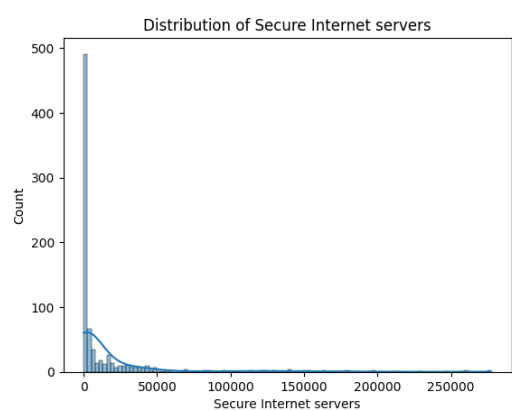
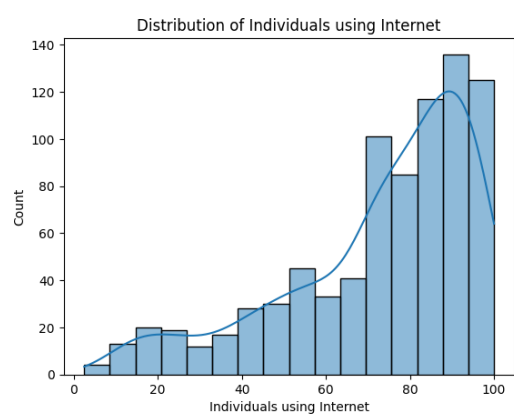
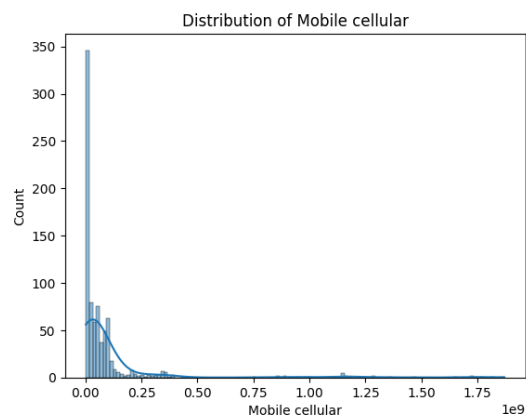
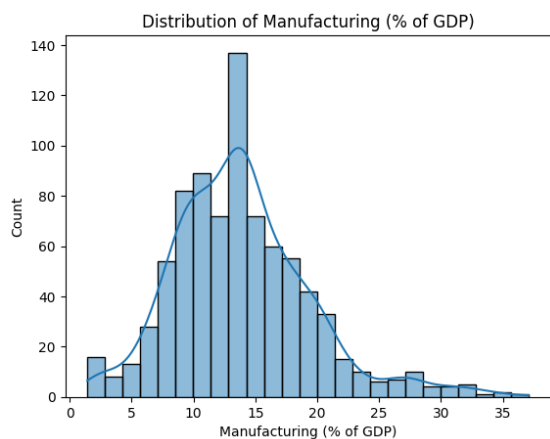
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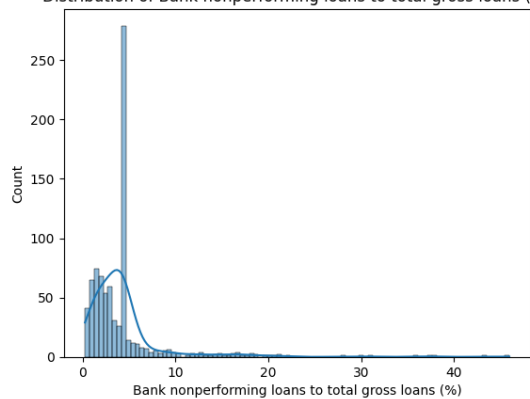
5. Appendix



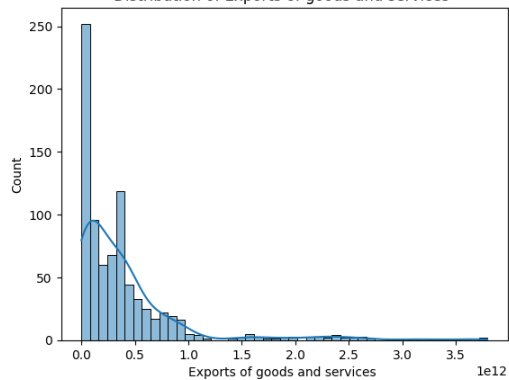




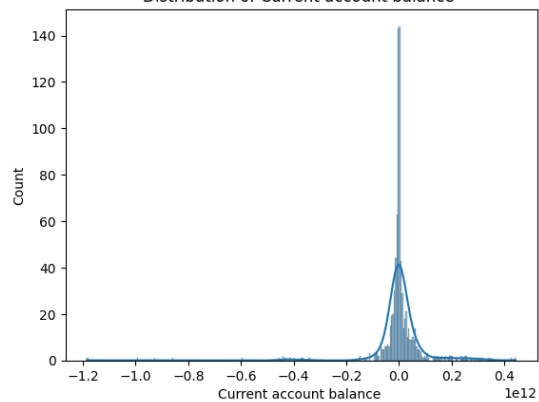
Distribution of Bank nonperforming loans to total gross loans (%)



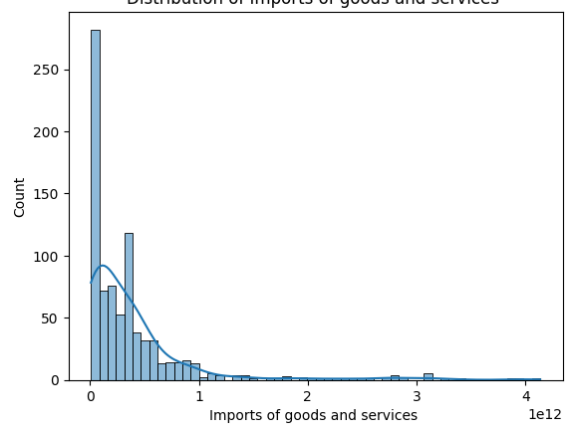
Distribution of Exports of goods and services



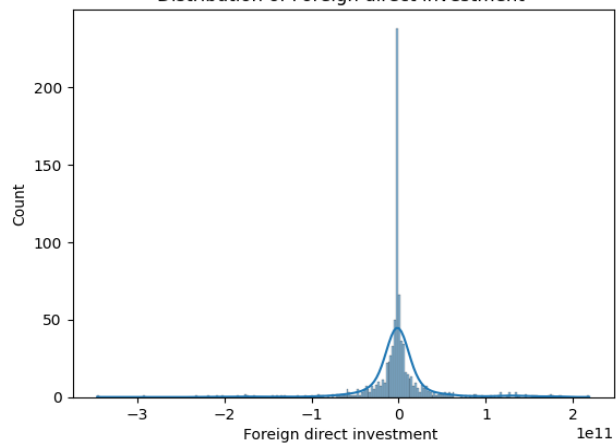
Distribution of Current account balance



Distribution of Imports of goods and services



Distribution of Foreign direct investment



Distribution of Personal transfers, receipts

